



Secure your rental property for the next generation

Ensure a tax-efficient transition of your property to your loved ones

Your rental property has likely been a source of steady income and financial security over the years. However, when it's time to pass it on to the next generation, the tax implications could turn what feels like a gift into an unexpected financial burden for your loved ones.

The challenge:

As the value of your property has appreciated over time, so has the potential capital gains tax when it's passed down. The difference between the original purchase price and the current market value is taxable, and this could leave your beneficiaries with a large, unforeseen tax bill. Without proper planning, your family may face difficult decisions about selling the property or finding other means to cover the tax costs.

By taking steps now, you can help ensure that your property remains a valuable asset for your family, not a financial burden.

The solution:

Invest in a tax-sheltered permanent life insurance policy to ensure your loved ones have money available for capital gains tax when they inherit the property. This type of policy offers steady premiums and issues dividends to increase your estate's cash value.

Most importantly, it will provide tax-free funds for children who inherit a valuable property to pay the tax bill, so they don't have to sell it instead of continuing to enjoy the income it generates.

Example:

You and your spouse purchase a Co-operators Joint Last-To-Die Whole Life insurance policy. This policy will grow in death benefit and cash value over time due to paid up additions. On the death of the 2nd spouse, the benefit will be available for your children to use to pay any capital gain tax liability and any other estate expenses.

The benefit: Keep the rental property in the family

A permanent life insurance policy can provide the necessary funds to cover significant tax obligations, ensuring that a large tax bill doesn't prevent your rental property from staying in the family. Preserve its value for future generations while avoiding the financial burden of property inheritance.

Talk to your Advisor today to create a plan that secures your future.



Example:

Purchase price in 1980:	\$100,000
Fair market value in 2024:	\$600,000
Total capital gain:	\$500,000
Taxable capital gains (50% of first \$250k)	\$125,000
Taxable capital gains (66.67% of remaining \$250k)	\$166,675
Total amount taxable:	\$291,675
Tax Payable on the sale of your rental property:	\$151,711

(Tax payable is calculated assuming taxable income of \$150,000/year. Calculations will vary based on province, household income, and other factors.)



As of June 24, 2024, the inclusion rate for capital gains increased from 50% to 66.67%. This change applies to corporations, trusts, and individuals. Individuals will continue to enjoy the 50% inclusion rate on their capital gains up to the first \$250,000 annually. 66.67% inclusion rate applies to any amounts above \$250,000.

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